to mainstream adoption of technologies that capture carbon or produce the same product at a lower carbon cost.

Such arrangements would clarify corporate responsibility for carbon emissions in a manner and terms where they are integrated into businesses. They also provide the right financial incentives to low carbon technologies and businesses.

Similar arrangements for determination of standards, measurement and pricing should be developed for the discharge of all pollutants.

Developing Social Standards in Financial Terms Is More Difficult

The social agenda of the ESG is more complex. It also applies more to governments than corporates. However, many elements like equal pay for equal work, elimination of gender discrimination, right to freely associate and creation of safe working conditions concern businesses as acutely.

There is a larger economic and financial agenda embedded in the social part of ESG—preventing falling share of wages in the value added by businesses; rather, increasing this share is the best way to take care of the social agenda. Over the years, the share of profits is going up and the share of wages falling in value added. This happened in the industrial age for physical (blue collar) workers. The onset of technology in the digital age is aggravating the matter for white collar or intellectual workers as well.

The social agenda of ESG, as far as businesses are concerned, needs to be divided into two parts. First, a fair labour code agenda that makes businesses adhere to the right standards set in fair labour codes. Second, a positive financial agenda that pegs the share of wages at a minimum specified level in the value added created by the organization concerned.

Minimum share of wages for every corporate business, for example, can be set at 60 per cent of total value added. Companies must hire enough workers/work time to ensure that not less than 60 per cent of the total value added goes to workers as salaries, compensation, bonuses or in any other